

Completed Analysis — Summary

Prepared for the Lunar Investments Committee · Confidential

EXECUTIVE SUMMARY

Thara Pay is a Saudi payments-infrastructure company providing checkout, payouts, and reconciliation tooling for mid-market e-commerce and marketplace merchants. Analysis is complete; the opportunity is currently in Investment Committee review following an inbound introduction. This summary consolidates the analyst's financial model outputs, quantified risk assessment, and mandate-fit determination into the metrics the Committee will reference at the IC meeting.

Company	Thara Pay
Sector	Fintech — payments infrastructure
Stage	IC review (analysis complete)
Origin	Inbound
Analyst	Ali

INVESTMENT COMMITTEE METRICS

The table below is the analyst's summary output — the figures the Committee compares against the mandate hurdle and against other live opportunities in the pipeline.

Metric	Value
Implied IRR at entry	18.5%
Mandate hurdle rate	15.0%
Scenario-weighted expected return	16.2%
Quantified risk score (1 = lowest, 10 = highest)	5 / 10
Mandate fit	Pass
Shariah screen	Pass

Implied IRR of 18.5% clears the 15% hurdle with 3.5 points of margin at entry. The scenario-weighted expected return of 16.2% — which blends bull, base, and bear cases — remains comfortably above the hurdle even after weighting for downside scenarios, indicating the base-case return is not solely dependent on the bull case materializing.

Recommendation: strongest risk-adjusted case pending final due diligence.

INVESTMENT THESIS & FINANCIAL ANALYSIS

Thesis

Thara Pay sits on the payments-infrastructure layer beneath a growing base of mid-market Saudi e-commerce and marketplace merchants who have outgrown basic payment-gateway integrations but are too small to negotiate direct acquiring relationships. Revenue is transaction-fee based, with a smaller subscription component for reconciliation and payout tooling — giving the business a revenue base that scales with underlying merchant GMV rather than requiring continual new-logo growth alone.

Financial analysis

The analyst's model shows take-rate and processed-volume growth outpacing merchant-count growth, consistent with existing merchants processing a rising share of their GMV through the platform as trust and integration depth increase. Gross margin on the payments business is structurally lower than pure software but is offset by high operating leverage once processing volume clears the current infrastructure cost base — the driver behind the gap between the 15% hurdle and the 18.5% implied entry IRR.

Free cash flow turns modestly positive within the model's explicit forecast window under the base case; the bear case pushes this out but does not turn the scenario-weighted return below the hurdle, per the metrics on the preceding page.

Mandate fit

Thara Pay is a technology/fintech business, within the Charter's sector mandate; the proposed ticket falls within the SAR 20–60M band and the Series A–C stage window. The sector-concentration impact of this deal was assessed separately at screening and does not breach the 10% cap on its own.

QUANTIFIED RISK ASSESSMENT & SHARIAH SCREEN

Risk score: 5 of 10

The mid-range risk score of 5/10 reflects a business with a proven, non-speculative revenue model (transaction fees on real merchant GMV) offset by competitive intensity in Saudi payments infrastructure and dependency on continued e-commerce GMV growth in the merchant base. Key risk drivers weighted into the score: (i) new-entrant competition compressing take rates, (ii) concentration among a relatively small number of larger merchants, and (iii) regulatory/licensing dependency typical of payments businesses operating under SAMA oversight.

Shariah screen

Thara Pay's core activity — payments processing, checkout, and reconciliation infrastructure — is Shariah-permissible under the Charter's business-activity test. The company carries no interest-bearing debt above the 33%-of-valuation threshold and reports no material non-permissible income; the Shariah pre-screen result is a clean **Pass**.

Appendix: sources

This summary consolidates the analyst's underlying financial model, management-provided data-room materials (financials, merchant cohort data, licensing status), and the Lunar IC Charter mandate criteria. Full workpapers are available to the Committee on request.